Prologue

In October 1953 the RBI in consultation with the government set up a committee to examine how increased finance could be made available to the private sector. The person selected to chair the committee was Ardeshir Darabshaw Shroff, eminent economist, banker, industrialist, and one of the most outspoken advocates for free enterprise whose contributions at Bretton Woods we have already noted in Book II. The Shroff Committee made far-reaching recommendations. Among other things, it recommended the establishment of an industrial development bank by the government to provide long-term industrial finance and an investment and financial institution under private ownership which would underwrite new public issues and provide medium and long-term funds exclusively to the private sector. It also recommended the floatation of a unit trust to mop up savings.

The state-sponsored institution, which the Committee called the Industrial Development Corporation, went on to become IDBI. The one under private ownership, which the Committee called the Industrial Development and Finance Corporation, became ICICI. Shroff coined its name, arranged the initial capital and recruited qualified persons to man it. He was an important part of the high-powered Committee, set up to write the charter of the new institution and was also instrumental in negotiating the structure of the ICICI with the World Bank which was to participate in its equity.

But ICICI was just one of many contributions Shroff made. He is considered one of the architects of free India's industrial development and there were few fields in the economic life of the country, irrespective of